Employee Wealth Creation Plan

Building Value. Creating Wealth. Together.

A CEO Vision Paper for Aligning Our Core Team Around Building Enterprise Value

Working draft for leadership alignment.

This paper communicates the vision and operating logic. It is not a legal agreement or an HR policy.

Purpose

NexGen is not being built simply to become a larger company. We are building a stronger, more valuable company that creates an exceptional customer experience, produces meaningful profit, develops real leaders, and gives us more control over our future.

Over the last several years, we have said that we are building NexGen **with** a core group of people, not **around** our core group of people. That requires more than everyone performing their individual role well. It requires a shared understanding of what we are building, what creates value, and how each decision either moves us closer to or further from that outcome.

This plan exists to align the people helping build NexGen around one common driver: increasing the long-term value of the company. Revenue matters because it reflects growth. But enterprise value is where the full result of our work comes together. It reflects the strength of our customer experience, our margins, our leadership, our systems, our brand, and our ability to produce results without depending on any one person.

The guiding question behind our decisions and actions becomes:
Does this make NexGen more valuable?

When we operate from that shared question, we create clearer priorities, more aligned execution, and a stronger company. Furthermore, if we create extraordinary value together, the people who helped build it should have the opportunity to share in the wealth it creates.

This is not a plan built around selling NexGen. It is a plan built around increasing its value, strengthening our options, and making sure that, if the right opportunity creates liquidity, the core team that helped create that value has the opportunity to share in the wealth created. The purpose is to align every member of NexGen around the behaviors and decisions that make the company more valuable over time.

A HIRING OPERATING PRINCIPLE:
We should scrutinize every proposed hire. We hire only when adding the person will increase enterprise value faster than we can by developing, equipping, and better deploying the team we already have.

The Big Idea

Revenue tells us how big the business is. Enterprise Value tells us what the business is worth.

Revenue is the milestone employees can see and understand. Enterprise Value is where wealth is created. It reflects not only how much we sell, but also;

- how well we operate
- how profitable we are
- how strong our leadership is
- how repeatable the company has become.

Every improvement in profitability, leadership, systems, brand, customer experience, and organizational depth can make NexGen more valuable.

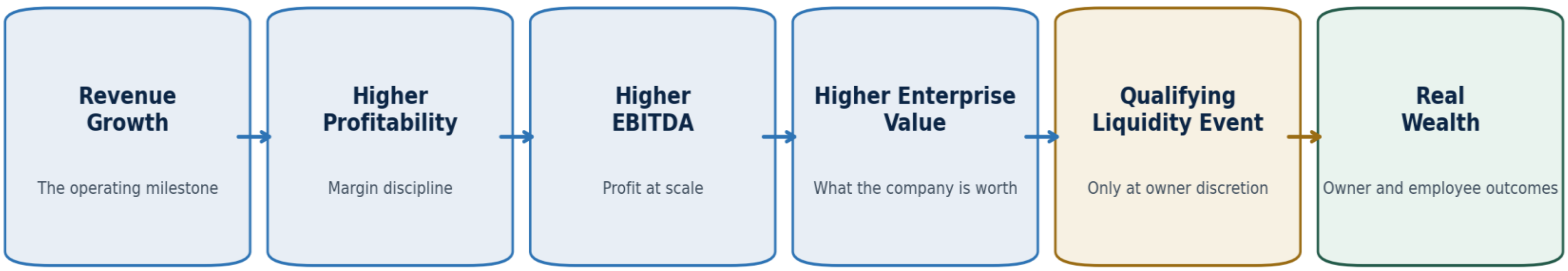
What We Are Building

- An exceptional customer experience that creates trust, referrals, and long term value.
- A company that can grow with discipline and sustain strong profitability.
- Leadership depth and clear accountability that do not depend on a small group of specific people.
- Repeatable systems, predictable cash flow, and a stronger brand.

The Enterprise Value Path

A liquidity event is not the objective by itself. It is a possible result of building a company with greater scale, stronger profitability, and more options.

The Enterprise Value Path



The plan rewards the value created after the business reaches scale. It does not reward a sale for its own sake.

The path is deliberately sequential. Revenue creates scale. Profitability produces EBITDA. EBITDA and company quality create Enterprise Value. A qualifying transaction can then create real wealth.

The Enterprise Value Scorecard

Every year, the leadership team should report progress on the same scoreboard.

This makes the plan real before any transaction is ever considered.

Driver	Target
Customer Experience	High satisfaction and reputation
Leadership Alignment & Depth	High performing leadership team / Successors developed for key roles
Revenue Growth	At least 20% annually
Gross Margin	Target maintained or improved
EBITDA Margin	Target maintained or improved
Predictable Cash Flow	Improve annually
Systems and Documentation	Major processes documented and repeatable
Brand Awareness	Increasing market recognition and referral strength

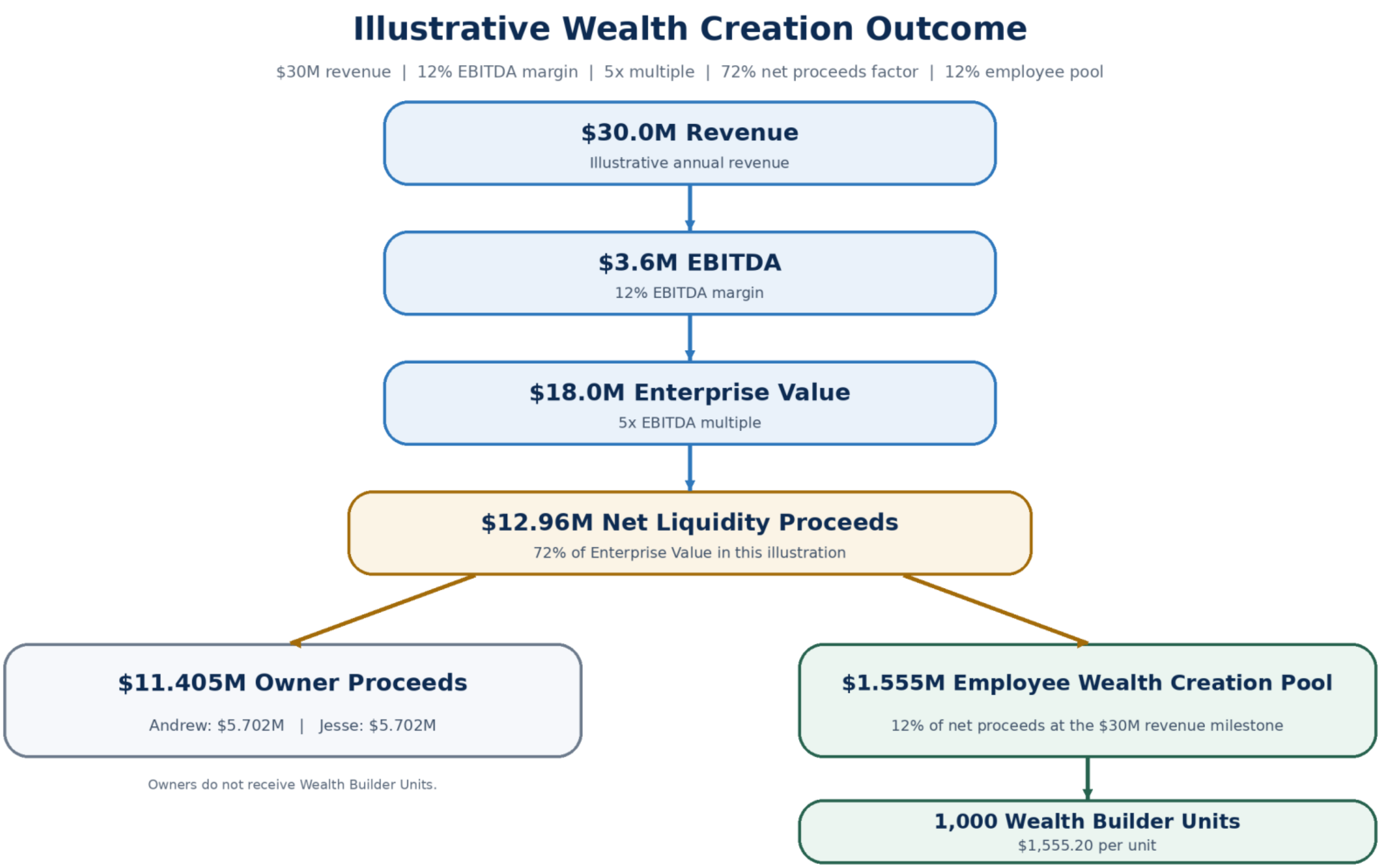
Plan Mechanics

The NexGen Employee Wealth Creation Plan is a long term wealth creation opportunity tied to a qualifying liquidity event, such as a sale of the company or an investment that creates liquidity for the owners.

The owners retain discretion over whether, when, and on what terms a liquidity event occurs. The intention is not to create pressure to sell. The intention is to build the kind of company that creates meaningful options.

How Value Becomes Wealth

The illustration below carries the math all the way to an employee outcome. It is intentionally concrete so no one has to infer where owner proceeds end, where the employee pool begins, or what a Wealth Builder Unit means.



Nine Person Participation Example

At the $30 million revenue milestone, the graduated schedule assigns a 12% Employee Wealth Creation Pool. That produces a $1,555,200 pool. With 1,000 fixed Wealth Builder Units, each Unit is worth $1,555.20 in this illustration. The current nine-person example below allocates all 1,000 Units.

HOW TO READ THE 1,000 UNITS

The 1,000 Units represent 100% of the Employee Wealth Creation Pool. They are not individual base grants or annual points that accumulate over time. At a qualifying liquidity event, all eligible participant allocations add up to exactly 1,000 Units. One Unit equals 0.1% of the employee pool.

A person's assigned number is their total share of the pool. For example, 170 Units means a 17% share, not 170 Units per year or Units added on top of an earlier award. The role ranges later in this paper are guideposts for that total allocation, which annual review may adjust before an event without creating cumulative Units.

Tier	Participants	Units Each	Total Units	Payout Each
Tier 1	2 Directors	170	340	$264,384
Tier 3	3 Remodeling Consultants	110	330	$171,072
Tier 3	2 Project Managers	110	220	$171,072
Tier 4	2 Professional Contributors	55	110	$85,536
	Total		1,000	$1,555,200

WHAT THIS EXAMPLE SHOWS

The full 1,000 Unit pool is allocated across today's nine participating roles. In this illustration, the two Directors collectively receive 34% of the pool, the three Remodeling Consultants 33%, the two Project Managers 22%, and the two Professional Contributors 11%. These are illustrative outcomes at the $30M revenue milestone, not individual promises or separate base grants.

The diagram above assume a 12% EBITDA margin, a 5x EBITDA multiple, and 72% net liquidity proceeds. Actual transaction economics may differ, but the revenue based pool schedule remains the governing rule.

THE CORE MATH

Individual payout = individual Units divided by 1,000, multiplied by the Employee Wealth Creation Pool. The applicable pool percentage is determined by the revenue milestone achieved at the qualifying event.

Participation Architecture

Wealth Builder Units are based on Organizational Role, Commitment, and Impact. The role architecture below makes the distinction clear before individual assignments are ever made.

Participation Tier	Example Roles	Why It Receives This Weight
Tier 1: Executive Leadership	CEO, CGO, Directors	Sets direction, develops leadership capacity, and owns major company outcomes.
Tier 2: Business Leaders	Future department managers and leaders accountable for teams, budgets, or major company functions	Builds the operating capability that allows NexGen to scale without relying on the owners.
Tier 3: Value Creators	Remodeling Consultants, Project Managers, senior specialists who directly influence profitability and customer outcomes	Directly protects margin, revenue quality, execution, and the customer experience.
Tier 4: Professional Contributors	Coordinators, administrative professionals, support staff	Makes the operating system reliable, responsive, and repeatable.

IMPORTANT DISTINCTION

CEO and CGO are included in Tier 1 as leadership roles, but Andrew and Jesse are owners. They receive owner proceeds and do not receive Wealth Builder Units. Director roles may participate as employees under the plan.

Wealth Builder Units

Wealth Builder Units do not represent equity. They are the method used to divide the Employee Wealth Creation Pool if a qualifying liquidity event occurs. How employees accumulate units are based on the below criteria:

- **Organizational Role**: the responsibility and leverage expected from the role.
- **Commitment**: sustained service, loyalty, and participation in building the company over time.
- **Impact**: measurable contribution to NexGen's results, capability, culture, and long term value.

How Units Are Earned

Wealth Builder Units are not earned through a daily point system or awarded automatically because someone has a title. A role establishes a guidepost for the person’s total allocation. Commitment and impact determine where that total allocation falls within the guidepost. Assignments are reviewed annually so the plan continues to reflect the company we are building, but Units do not accumulate from year to year.

Step	Decision	What It Means
1. Become eligible	Meet the service and plan gates	A team member must complete three years of service. Participation begins only if NexGen reaches the revenue threshold and a qualifying liquidity event occurs.
2. Establish allocation guidepost	Place the role in its participation tier	The role defines the expected leverage and the likely total allocation range. A larger role does not create ownership. It creates a larger potential share of the employee pool.
3. Assess commitment	Determine whether participation has been earned and retained	Sustained service, reliability, willingness to build with the team, and continued commitment to NexGen are required. Time alone does not earn Units.
4. Assess impact	Set the total allocation within the guidepost	The total allocation reflects measurable contribution to growth, margin, leadership depth, systems, customer experience, culture, and other drivers of Enterprise Value.
5. Review annually	Reconfirm or adjust the total allocation	Leadership recommends assignments and the owners approve them. All eligible participant allocations must total exactly 1,000 Units at a qualifying liquidity event.

Allocation Ranges

The following guideposts describe a person's total allocation at a qualifying liquidity event. They do not represent a base grant, a yearly award, or an additional amount a person can earn on top of Units already assigned. These are a design framework, not final allocations for any individual.

Participation Tier	Total Allocation Range	Example in This Paper
Tier 1: Director	150 to 200 Units	170 Units
Tier 2: Business Leader	120 to 160 Units	Not represented in current team example
Tier 3: Value Creator	90 to 130 Units	110 Units
Tier 4: Professional Contributor	40 to 80 Units	55 Units

WHAT DOES NOT EARN UNITS

Title alone, mere tenure, or a single strong month is not enough. Units are earned and maintained through the combination of role, commitment, and sustained impact on Enterprise Value.

The Graduated Employee Pool Schedule

The Employee Wealth Creation Pool is determined by annual revenue at the qualifying liquidity event. It is not selected later. As NexGen reaches each revenue milestone, the employee pool increases because the team has helped create a larger and more valuable company.

Annual Revenue at Event	Employee Pool	Example Net Proceeds	Example Pool Dollars	Value per Unit
$20M to $24.99M	8%	$8,640,000	$691,200	$691.20
$25M to $29.99M	10%	$10,800,000	$1,080,000	$1,080.00
$30M to $34.99M	12%	$12,960,000	$1,555,200	$1,555.20
$35M and above	15%	$15,120,000	$2,268,000	$2,268.00

Why Margin and Multiple Matter

Revenue creates the opportunity, but margin and company quality determine how much value it produces. The right hire should improve customer experience, protect or expand margin, strengthen leadership depth, or build systems that support a stronger multiple.

The table below holds revenue constant at $30 million and shows how higher EBITDA margins and higher valuation multiples can increase total net liquidity proceeds.

EBITDA Margin	EBITDA	5x Multiple	6x Multiple	7x Multiple
12%	$3.60M	$12.96M	$15.55M	$18.14M
14%	$4.20M	$15.12M	$18.14M	$21.17M
16%	$4.80M	$17.28M	$20.74M	$24.19M
18%	$5.40M	$19.44M	$23.33M	$27.22M

Example net liquidity proceeds. These figures use the same 72% net proceeds assumption as the primary example. Actual proceeds will depend on transaction terms, taxes, debt, working capital, and other deal adjustments.

The point is not to add people at any cost. It is to make disciplined investments in people when they help NexGen create more value, faster. At the same $30 million of revenue, moving from 12% EBITDA at a 5x multiple to 18% EBITDA at a 7x multiple <u>increases net liquidity proceeds from $12.96 million to $27.22 million.</u>

Do New Hires Dilute the Pool?

Yes. At a qualifying liquidity event, the employee allocations must total 1,000 Units. If a new hire is awarded Units, those Units must come from the same fixed 1,000 Unit pool. Simply hiring someone does not create additional pool dollars or additional Units.

This is why staffing decisions must be disciplined. A new hire should be brought on only when that person is expected to increase NexGen's Enterprise Value faster than the current team can through better deployment, development, systems, or leadership capacity. <u>The question is not whether we can add a person. The question is whether adding that person makes NexGen more valuable.</u>

Commitment and Eligibility

The plan is intended to reward people who commit to helping build NexGen over time. It is not designed as a short term incentive or annual bonus program.

Plan Element	Vision Paper Position
Revenue Threshold	No participation is considered unless annual revenue is at least \$20 million and a qualifying liquidity event occurs.
Service Threshold	A team member must complete three years of service before participation begins.
Current Employee Service Credit	For current employees, 2024 is the base year for service credit. This recognizes the people who were part of the core group during the early build.
Employee Pool	A graduated percentage of net liquidity proceeds, determined by annual revenue at the qualifying event: 8% at \$20M to \$24.99M, 10% at \$25M to \$29.99M, 12% at \$30M to \$34.99M, and 15% at \$35M and above.
Ownership	Wealth Builder Units provide no equity, voting rights, or ownership interest in NexGen.
Liquidity Decision	Only the owners decide whether, when, and on what terms a liquidity event occurs.

What This Means for the Team

Every role can contribute to Enterprise Value. The work is not limited to selling more deals. It includes protecting margin, improving execution, developing people, making customers advocates, documenting systems, and solving problems in a way that makes the next job better or next task easier.

This gives us a shared finish line. We are not simply working toward annual revenue or an individual bonus. We are building a company with greater value and creating the possibility of meaningful wealth together.

Appendix: What This Plan Is Not

- Not ownership
  - Wealth Builder Units do not provide equity, voting rights, or an ownership interest in NexGen.
- Not a change to ownership
  - Andrew and Jesse retain their ownership interests. They do not receive participation units.
- Not annual profit sharing
  - The plan is not tied to year-over-year profits or a routine annual payout.
- Not guaranteed compensation
  - Any future payment depends on a qualifying liquidity event, final transaction terms, and the plan in effect at that time.
- Not a promise of a sale
  - The owners retain discretion over whether and when to pursue a liquidity event.

The Commitment

The plan is built on a simple belief. If we build NexGen into an extraordinary company, the people who helped create that value should have the opportunity to share in the wealth created.

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